DIPLOMA PROGRAMME PRACTICE / HL / SET B

Economics / Paper 1

Worked mark scheme · 75 minutes · 25 marks

Choose one of the three questions and answer both parts. No calculator is permitted. Use real-world examples in part (b) and fully labelled diagrams where relevant. Write on separate answer paper.

Judge extended responses as a whole using the markband for that part. Award valid alternative analysis and diagrams. In linked calculations, credit correct use of an earlier result. The suggested judgements are examples.

HOW TO MARK THIS PAPER

Use the 10-mark scale for each explanation and the 15-mark scale for the evaluation. Only the two parts of the selected essay contribute to the score.

10-MARK SCALE

0: no relevant economics. 1–2: isolated relevant ideas. 3–4: partial explanation with limited links. 5–6: a broadly correct mechanism, with gaps in development or representation. 7–8: developed analysis using appropriate terms and an effective diagram or other representation where relevant. 9–10: consistently precise, fully connected reasoning directed at this question, with the representation interpreted. Accept equivalent valid analysis.

15-MARK SCALE

0: no relevant economics. 1–3: assertions or isolated concepts. 4–6: some relevant explanation, limited application. 7–9: coherent analysis with some application and consideration of consequences. 10–12: developed, applied analysis weighing competing considerations with a supported view. 13–15: precise theory and relevant diagrams where useful, evidence integrated throughout, and a balanced judgement that explains conditions or relative importance. Other defensible conclusions can receive full credit.

QUESTIONS IN THIS SCHEME

1 Strategic behaviour in an oligopoly [25]

2 Inflation expectations and employment [25]

3 Depreciation and international payments [25]

QUESTION 1 / 25 MARKS

Strategic behaviour in an oligopoly

Background reading. European Commission, Trucks, case AT.39824

PART a / 10 MARKS

Explain, using a payoff matrix, how two firms can each have an incentive to cut price even when both would earn more by maintaining a high price.

Analysis. Illustrative profits (firm A, firm B) in millions: high/high (8,8), low/high (10,2), high/low (2,10), low/low (4,4). Against either price of B, A earns more by pricing low; the same logic holds for B. The low/low pair is a Nash equilibrium because neither firm can gain by changing price alone.

Diagram. A valid matrix names the firms, strategies and payoff order. High/high gives each 8 instead of 4, but unilateral undercutting yields 10 against a high rival. A mutually preferred outcome is thus individually unstable in the one-period game. Repetition could change the incentives.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a

Illustrative profits in millions (A, B)

	B: high	B: low
A: high	8, 8	2, 10
A: low	10, 2	4, 4

PART b / 15 MARKS

Using real-world examples, evaluate whether protecting consumers in oligopolistic markets requires government action against collusion.

Application. The European Commission's truck cartel case concerned coordination among manufacturers, including on gross list prices. Coordination can weaken rivalry and reduce pressure to offer better terms. Do not assume list prices and actual transaction prices are identical. Leniency can make agreements unstable by rewarding a participant who supplies evidence.

Evaluation. Fines deter only when detection is plausible and penalties outweigh expected gains. Transparency can aid monitoring yet may also help firms track rivals. High concentration can reflect scale economies; similar prices alone do not establish an agreement. Entry, buyer bargaining power and differentiated products affect harm.

Judgement. Enforce action against evidenced coordination where entry is limited. Complement enforcement with measures that make switching or entry practical, while assessing whether intervention preserves scale benefits and reduces actual prices or improves quality.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 2 / 25 MARKS

Inflation expectations and employment

Background reading. Federal Reserve History, Recession of 1981–82

PART a / 10 MARKS

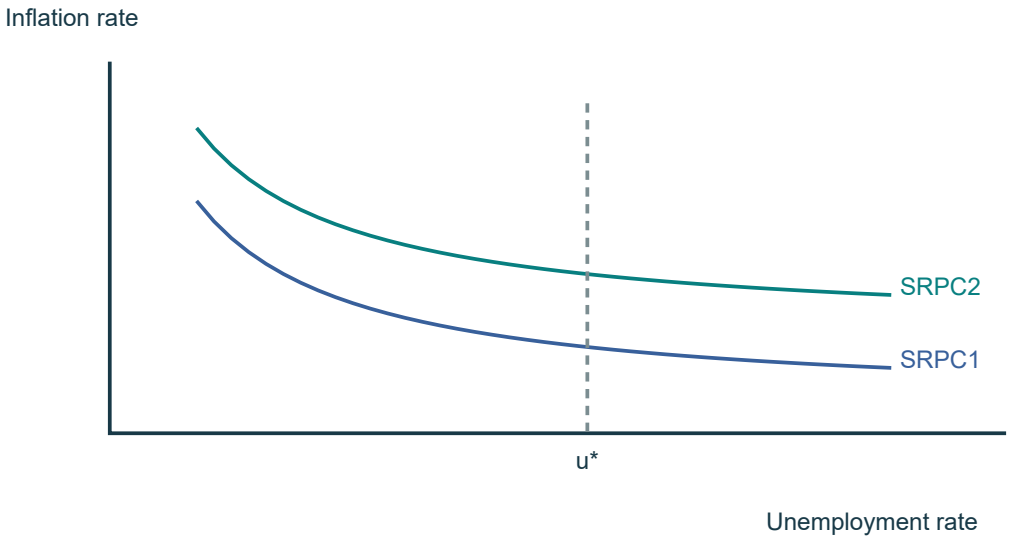
Explain why a short-run inverse relationship between inflation and unemployment may break down when expected inflation rises.

Analysis. With expectations initially stable, unexpectedly strong aggregate demand can raise employment and prices, moving along a short-run Phillips curve. Higher expected inflation may then enter wage bargaining and price setting. At each unemployment rate, more inflation is associated with the revised expectations.

Diagram. Use inflation rate and unemployment rate axes. Shift the short-run Phillips curve up and identify two inflation rates at the same unemployment rate. If long-run unemployment is determined by labour market structure, a long-run vertical curve clarifies why a permanent demand expansion cannot indefinitely hold unemployment below that rate.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate the claim that reducing inflation necessarily entails a prolonged increase in unemployment.

Application. US disinflation under the Federal Reserve in the early 1980s coincided with recession and high unemployment. Tight policy reduced spending. When expectations and contracts adjust slowly, real output bears more of the cost in the transition. The episode supports the possibility of a cost, not its inevitability in every inflation episode.

Evaluation. A fall in energy costs or an improvement in productivity can reduce inflation while raising real output. Credible policy can lower expected inflation, shifting the short-run curve, but credibility alone cannot instantly renegotiate existing contracts. Labour mobility and spare capacity influence the size and persistence of employment losses.

Judgement. Separate disinflation from an actual fall in the price level, and short-run adjustment from long-run employment. A demand-led persistent inflation may require restraint; the unemployment cost is likely smaller when favourable supply changes or well-anchored expectations assist.

Apply the 15-mark scale on the first page to this response as a whole.

QUESTION 3 / 25 MARKS

Depreciation and international payments

Background reading. IMF, Iceland: Ex Post Evaluation of Exceptional Access (2012)

PART a / 10 MARKS

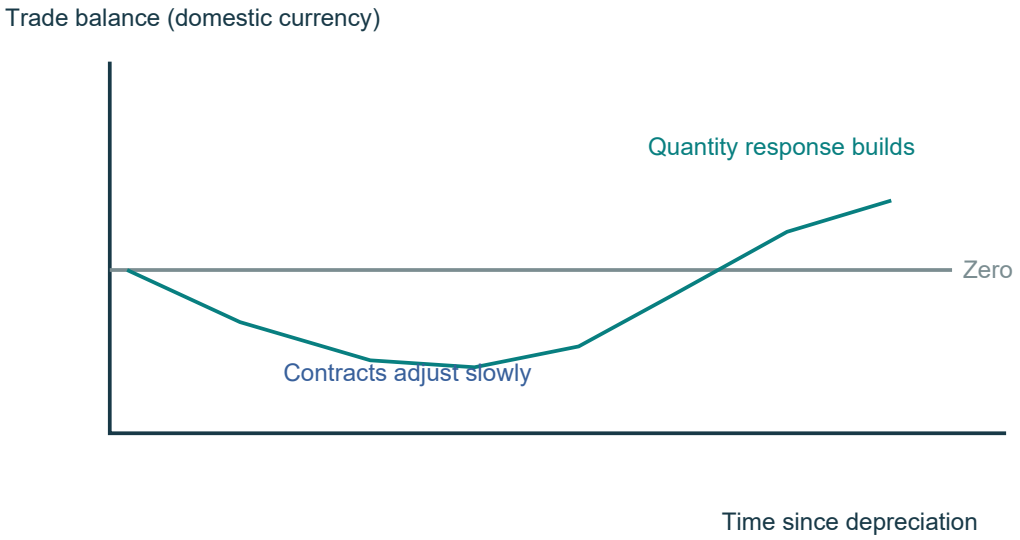
Explain how a depreciation can initially worsen the trade balance before improving it, making clear the role of the price elasticities of export and import demand.

Analysis. With contracts and volumes slow to adjust, imports priced in foreign currency cost more in domestic currency after depreciation. Starting near balance, that valuation effect can worsen the domestic-currency trade balance. In time, buyers substitute away from imports and foreigners may demand more domestic exports.

Diagram. A J-curve puts time on the horizontal axis and the trade balance on the vertical axis. Under the usual assumptions of flexible quantities, elastic supplies and an initially balanced trade account, the sum of the absolute export and import demand elasticities exceeding one supports eventual improvement. The recovery is conditional on pass-through and supply capacity.

Apply the 10-mark scale on the first page to this response as a whole.

WORKED REPRESENTATION / a



PART b / 15 MARKS

Using real-world examples, evaluate whether allowing a currency to depreciate is an effective response to a persistent current-account deficit.

Application. During Iceland's 2008 crisis the króna depreciated and foreign-currency liabilities increased the domestic-currency burden of repayment. More competitive export prices can help adjustment, but a foreign-currency debt burden can weaken firms before they increase output. A smaller deficit from collapsing domestic demand is different from successful expansion of exports.

Evaluation. Food or energy imports may have few substitutes. Imported inputs can limit exporters' price advantage. Trade in goods and services is only part of the current account: income payments can offset a trade gain. Improving productivity raises competitiveness more slowly; demand restraint may narrow imports but reduce employment.

Judgement. A flexible rate can support adjustment when demand responds and firms can expand. Where debt exposures and supply bottlenecks dominate, depreciation alone may entail high welfare costs. Judge sustainability by the financing of the deficit and the source of the improvement.

Apply the 15-mark scale on the first page to this response as a whole.